



ZESA HOLDINGS (PVT) LIMITED

PAYROLL SYSTEM MANUAL





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1. INTRODUCTION

1.1 Purpose and Structure of the Manual

The purpose of this Payroll System Procedure Manual is to detail the accounting policies and procedures adopted by ZESA Holdings in preparation/execution of its payrolls. Compliance with the stated procedures is mandatory unless waived by the Group Financial Controller and Principal Payroll Accountant.

1.2 Who Should Get The Copies

Copies of this manual are issued to salaries staff who are concerned with payroll processing.

1.3 Scope and Objectives

The objectives of the Payroll system are:-

- To ensure that personnel are being paid in accordance with ZESA Policy.
- To ensure that labour is properly allocated to jobs expense categories or capital work in progress.
- To ensure that employees are paid timeously.
- To ensure that staff funds for Death Levy, Staff Special fund, Housing Loan, Car Loan, Medical Aid Schemes are properly maintained.

1.4 Relationship to other Systems

In order to make the manual more easily understood it has been necessary to briefly describe the documentation and procedures of other departments and systems or to cross reference the section with other sections.

1.5 Basic Features of the System

- 1.5.1 The system is controlled by the Finance Department.
- 1.5.2 Reporting on account status occurs monthly.
- 1.5.3 Financial reporting is conducted on a monthly basis.
- 1.5.4 The salary cash account is maintained in the General Ledger to control the monthly postings of the payroll costs.
- 1.5.5 Authority levels exist to control appointments, dismissals, pay increases and terms of employment.
- 1.5.6 Each individual self accounting area submits payroll input data to Head Office.
- 1.5.7 The payroll data is processed through a computer bureau. After the validation reports the final payroll run produces the various reports and lists.
- 1.5.8 Manual adjustments are made to the output as necessary.



2. ACCOUNTING PRINCIPLES & POLICY

The Accounting Principles and Policies adopted for the payroll system are as follows:-

Basic salaries are determined by grades which have been identified by the Patterson Grading System. Changes to the salaries on these Grades are only after a Collective Bargaining Agreement or Cost of Living Adjustment.

- An annual bonus is paid to all eligible employees with their November salaries. For issues attendant to the policy refer to Administration Note No. 27
- Employees engaged on shift work on an hour roaster are entitled to a monthly shift allowance which is calculated at 18.55% of basic salary. For more details refer to Administration Note No. 21.
- Overtime is paid one month in arrears and the overtime period from the 16th of the prior month to the 15th of the current month. Refer to Administration Note No. 24 for more details.
- All permanent employees who are electricity consumers on their own right are entitled to an electricity allowance of 1596 units at the cost price to the Authority which at the moment is being calculated as follows: the first 798 units are grossed up and the balance of 798 units is taxed on the employee. This is subject to change whenever the cost of production increases. Refer to Administration Note No. 23 for policy details
- Manual Salary bank transfers prepared in a limited number of cases and these transfers require the authorization of the Principal Payroll Accountant or anyone standing in his stead.
- All payments made manually and not through the computer payroll system are called Advances until they are passed and recovered through the system.
- All returned monies, are taken as payroll liabilities until dispensed off.
- Housing allowance is calculated at the rate of 31.8% of basic salary and payable to all permanent staff except **Post Graduate Trainees** and **Apprentices**.



- Non Pensionable allowance which is currently 31.8% basic is paid to all permanent employees except **Post Graduate Trainees** and **Apprentices**.
- Responsibility Allowance is 5.3% of basic salary is paid to all permanent employees who are classified as managerial employees according to the Authority's and the Labour Relations tribunal. Judgment Number LRT/MT/09/97, Case No. LRT/MT/20/96 of 26th June 1997.
- Retention Allowance is 21.2% of basic salary and is paid to all permanent employees who are classified and managerial employees according to the authority.
- Contract Allowance is 65% of basic salary and is paid to all contract worker.
- Training Allowance is 25% of basic salary and is paid to **Post Graduate Trainees Only**.
- Transport Allowance is paid to all Employee in Grades A1 to D2.
- Canteen Allowance is paid to all Employees in Grades A1 to D3
- The Internal Audit carry out checks on payroll documents, both input and output, to ensure the accuracy and authenticity of the data.

3. PAYROLL SYSTEM OVERVIEW

Engagement – Human Resources

Provision of particular Employee.

Payroll Section – check documents, prepare input submit input to Bureau after it has been checked by Payroll Accountant.

The Bureau will produce a report of a penultimate/Dummy payroll which is checked for errors.

- Adjustment input is prepared and then the final payroll is produced.
- Payslips and payments lists are produced by the Bureau as well as costing reports and deduction lists.
- Transfers to employee's bank accounts are done.



- Errors (queries) arising from the payroll are adjusted manually and corrective input prepared for the next payroll.
- Pay slips that are not to be distributed are separated from the rest before all the others are dispatched (for termination or zero pay slips, those on grade ZZZ).
- Any amendments to the creditors list are done before the lists and bank transfers are dispatched. All creditors' lists which require account numbers or policy numbers should reflect same. Corrections should be made on soft copies as well.
- Costing reports are dispatched to the relevant stations and the necessary JVS are done to post the payroll costs to the relevant stations current account.
- Payroll reconciliation is carried out to balance the transfer's issues to the Net, Deductions and Company Contributions and to the total payroll expenses for that month.
- Ensure the salaries control is cleared to zero.
- Carry out the Cash Book Reconciliation on a monthly basis for the different accounts.
- Carry out the Payroll Liabilities Account reconciliation on a monthly basis.
- Carry out the Manual Advance bank transfers, computer leave pay advance reconciliations on a monthly basis.

4. ACCOUNTING PROCEDURES

4.1 Balancing of the Payroll before Costing

Ensure that the payroll balances before any costing is done.

Method

Gross (which is on Code 854)

Less Total Deduction (on Code 855)

=Net (Code 250)

If there is any difference this should be explained by Zero Pay Advance (Code 110) which is not included in the net figure on Code 250.



4.2 Costing of the Payroll

When costing in the payroll, debit all departments and credit the Salaries Control Account. Debts to the various departments are through the following accounts.

COMPANY	BUS. AREA	COST CENTRE	EXPENSE CODE
1000	1200	100120	430000

ZESA PAYROLL INTERFACE TO SAP FI

Introduction

The Payroll interface to SAP is an enhancement to the SAP system to upload costs from the Payroll system into SAP FI which replaced JBA systems.

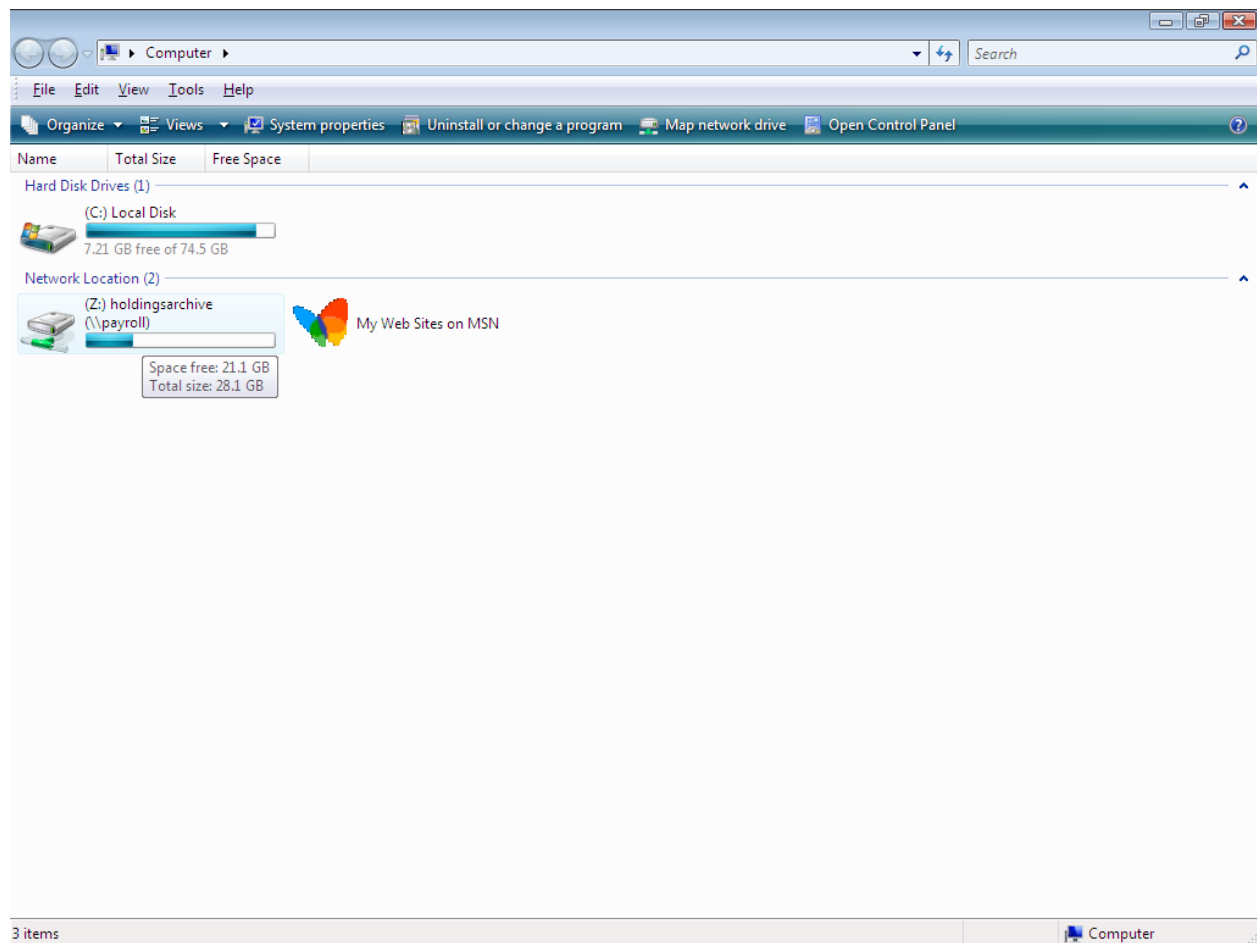
System components include:

- Transfer of the batch file to the server.
- Running of the import batch to update SAP FI
- Dating of reports
- Posting cost to the correct cost centre(s).
- Year to date Figures - Basic Salary
- Cash in lieu of Leave (CILL)
- Unions
- PAYE
- Pension
- Medical Aid
- Aids Levy
- NSSA
- Archiving of the import file to avoid it being uploaded twice.

Creating a network drive to access the batch file (proposed name SAP.txt)

Accessing a batch file from the server.

The drive is installed from a network and is accessed in My Computer under Network Location.



The network drive is configured and becomes the source for the batch file.

Double click the drive (Z) holdingsarchive to view the batch file posted



SAP.TXT



Computer > (Z:) holdingsarchive (\\payroll)			
File Edit View Tools Help			
Organize Views			
Name	Date modified	Type	Size
archive	8/12/2011 9:37	File Folder	
SAP.TXT	8/12/2011 9:23	Text Document	28 KB
2 items			
Internet			



Required columns for processing

SAP.TXT - Notepad

File Edit Format View Help

1000,25072011,25072011,1200,100110	,430000	,00000000000000000946.00	+
1000,25072011,25072011,1200,100110	,436500	,000000000000000000283.80	+
1000,25072011,25072011,1200,100110	,436900	,000000000000000000047.30	+
1000,25072011,25072011,1200,100110	,436600	,0000000000000000000283.80	+
1000,25072011,25072011,1200,100110	,436800	,0000000000000000000070.00	+
1000,25072011,25072011,1200,100110	,436700	,0000000000000000000189.20	+
1000,25072011,25072011,1200,100110	,437200	,0000000000000000000021.15	+
1000,25072011,25072011,1200,100110	,437300	,0000000000000000000009.10	+
1000,25072011,25072011,1200,100110	,437400	,0000000000000000000007.57	+
1000,25072011,25072011,1200,100110	,439020	,0000000000000000000006.00	+
1000,25072011,25072011,1200,100110	,437500	,0000000000000000000080.00	+
1000,25072011,25072011,1200,100110	,437600	,0000000000000000000021.85	+
1000,25072011,25072011,1200,100110	,439010	,00000000000000000000201.03	+
1000,25072011,25072011,1200,100120	,430000	,00000000000000000010418.00	+
1000,25072011,25072011,1200,100120	,431000	,00000000000000000002884.62	+
1000,25072011,25072011,1200,100120	,436100	,00000000000000000000538.00	+
1000,25072011,25072011,1200,100120	,436400	,0000000000000000000025.62	+
1000,25072011,25072011,1200,100120	,436500	,00000000000000000002891.40	+
1000,25072011,25072011,1200,100120	,436900	,0000000000000000000350.65	+
1000,25072011,25072011,1200,100120	,436600	,00000000000000000002377.20	+
1000,25072011,25072011,1200,100120	,437000	,0000000000000000000428.50	+
1000,25072011,25072011,1200,100120	,436800	,00000000000000000000980.00	+
1000,25072011,25072011,1200,100120	,436700	,00000000000000000001190.00	+
1000,25072011,25072011,1200,100120	,437200	,0000000000000000000252.40	+
1000,25072011,25072011,1200,100120	,437300	,00000000000000000000110.41	+
1000,25072011,25072011,1200,100120	,437400	,0000000000000000000083.36	+
1000,25072011,25072011,1200,100120	,439020	,00000000000000000000084.00	+
1000,25072011,25072011,1200,100120	,437500	,00000000000000000001107.00	+
1000,25072011,25072011,1200,100120	,437600	,00000000000000000000240.68	+
1000,25072011,25072011,1200,100120	,439010	,00000000000000000001683.86	+
1000,25072011,25072011,1200,100130	,430000	,00000000000000000000617.44	+
1000,25072011,25072011,1200,100130	,436500	,0000000000000000000185.23	+
1000,25072011,25072011,1200,100130	,436900	,0000000000000000000030.87	+
1000,25072011,25072011,1200,100130	,436600	,0000000000000000000185.23	+
1000,25072011,25072011,1200,100130	,436800	,0000000000000000000059.64	+
1000,25072011,25072011,1200,100130	,437200	,0000000000000000000013.45	+
1000,25072011,25072011,1200,100130	,437300	,0000000000000000000005.39	+
1000,25072011,25072011,1200,100130	,437400	,0000000000000000000004.94	+
1000,25072011,25072011,1200,100130	,439020	,0000000000000000000006.00	+
1000,25072011,25072011,1200,100130	,437500	,0000000000000000000102.00	+
1000,25072011,25072011,1200,100130	,437600	,0000000000000000000014.26	+
1000,25072011,25072011,1200,100130	,439010	,0000000000000000000131.21	+
1000,25072011,25072011,1100,100222	,430000	,00000000000000000017667.39	+
1000,25072011,25072011,1100,100222	,431100	,0000000000000000005488.66	+
1000,25072011,25072011,1100,100222	,431000	,0000000000000000000084.10	+
1000,25072011,25072011,1100,100222	,436100	,0000000000000000000024.00	+
1000,25072011,25072011,1100,100222	,436200	,00000000000000000001092.00	+
1000,25072011,25072011,1100,100222	,436500	,0000000000000000000792.90	+
1000,25072011,25072011,1100,100222	,436900	,0000000000000000000055.70	+
1000,25072011,25072011,1100,100222	,436600	,0000000000000000000792.90	+
1000,25072011,25072011,1100,100222	,436800	,00000000000000000003360.00	+
1000,25072011,25072011,1100,100222	,436700	,000000000000000000022.80	+
1000,25072011,25072011,1100,100222	,437200	,0000000000000000000308.88	+

Ln1, Col1

Sample data to be uploaded in the batch file must be checked.

The document must also be comma separated for the system to identify the column/s in the document.

Column 1

Company code: e.g. ZESA Holdings 1000

Column 2

Document Date: The day the batch file was supposed to be processed.

Column 3

Posting Period: Check with SAP MM or SAP FI super users for the current open posting period. The batch file will not run successfully if it's run on a closed posting period.



Column 4

Business Area: Enter your company business area e.g. ZESA Holdings 1200

Column 5

Cost centre: Posting is done to a cost centre. User must also check if the provided cost centers are correct and exists.

Column 6

GL account number: e.g. 430000

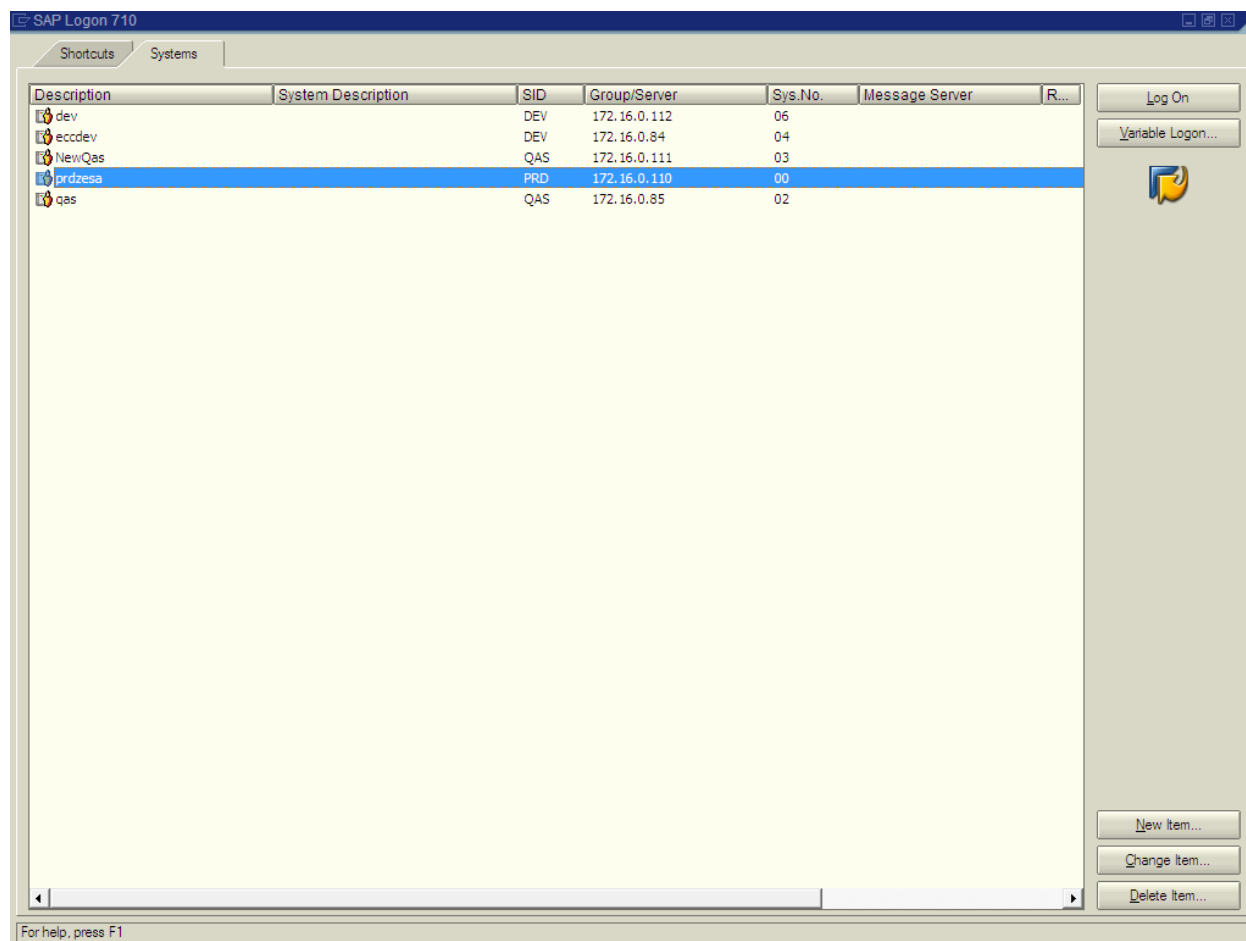
Column 7

Amount: Check that the amount involves both dollars and cents and separated by (.) e.g. 00000000000000000946.00. The amount has a sign at the end.

NB

Users are not allowed to edit the provided batch file.

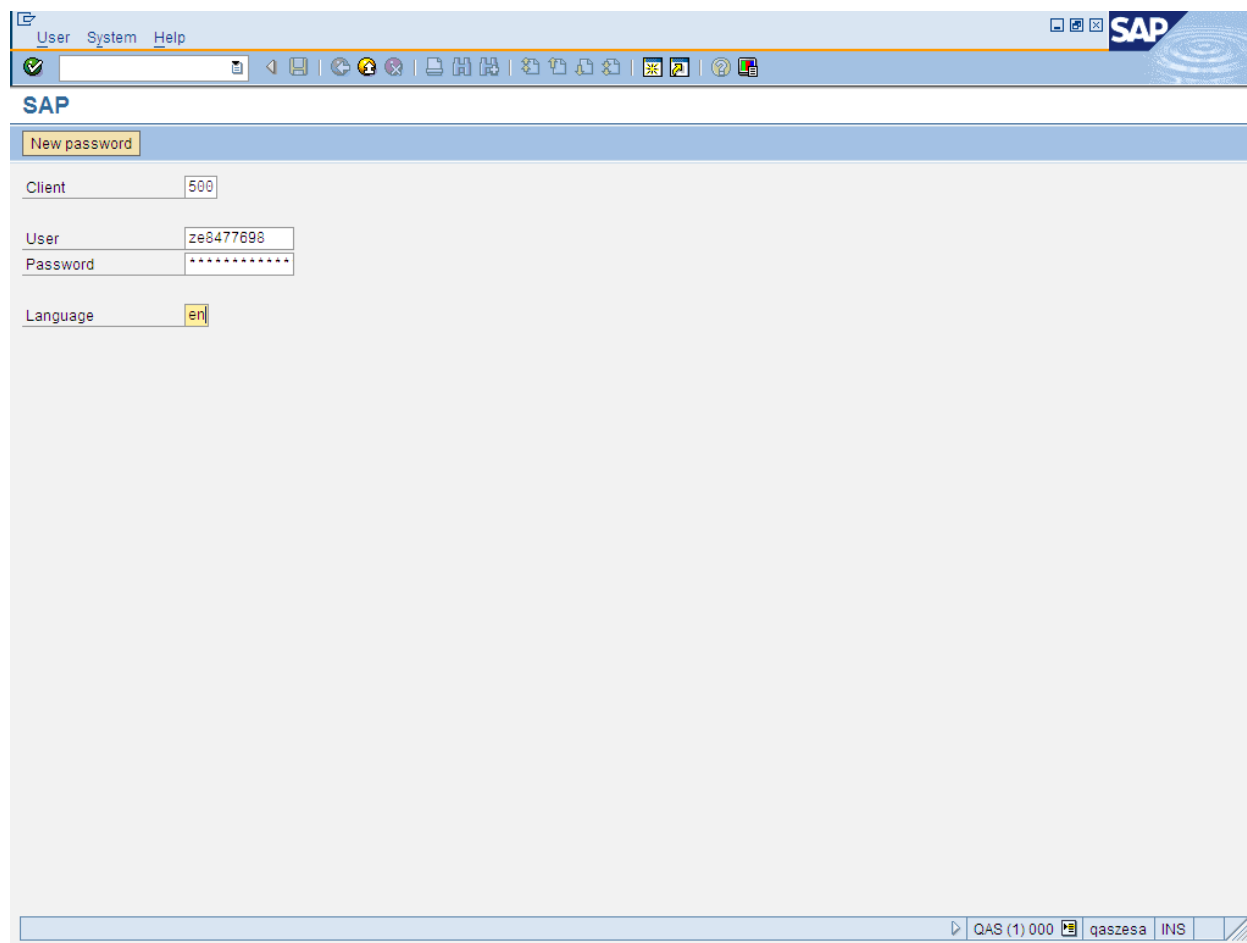
Check the batch file is comma separated and the provided fields are in the correct order.

**Running of the imported batch file to update SAP FI**

Double click on the SAP log on icon and select prdzesa.

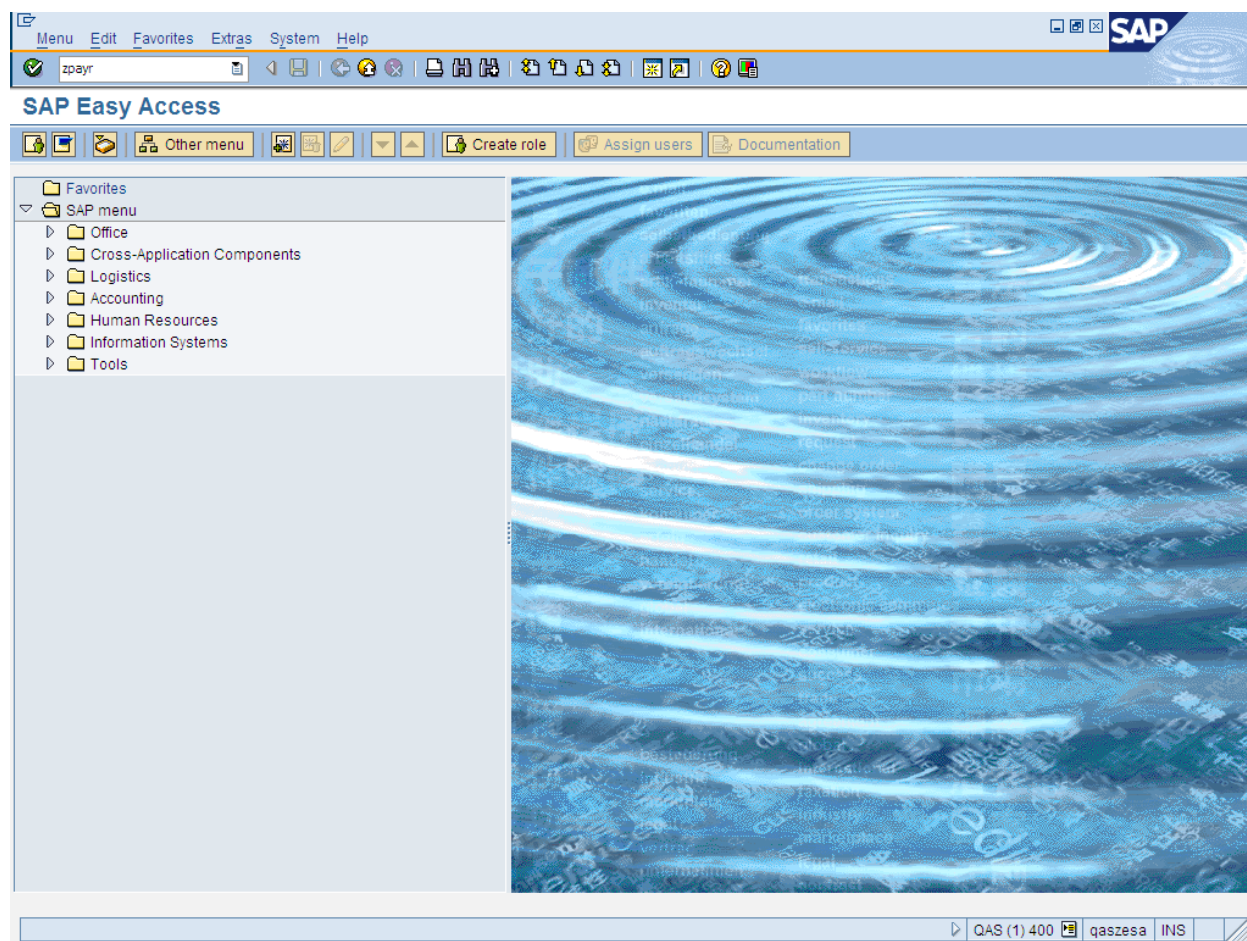


Screen Title: Log-on screen

A screenshot of the SAP log-on screen. The window has a title bar with 'User System Help' and a 'SAP' logo. Below the title bar is a menu bar with 'User System Help'. The main area is titled 'SAP' and contains a 'New password' button. Below this are four input fields: 'Client' with the value '500', 'User' with the value 'ze8477698', 'Password' with a masked value '*****', and 'Language' with the value 'en'. At the bottom right, there is a status bar with the text 'QAS (1) 000 qaszesa INS'.

Enter the required log on details

Click 



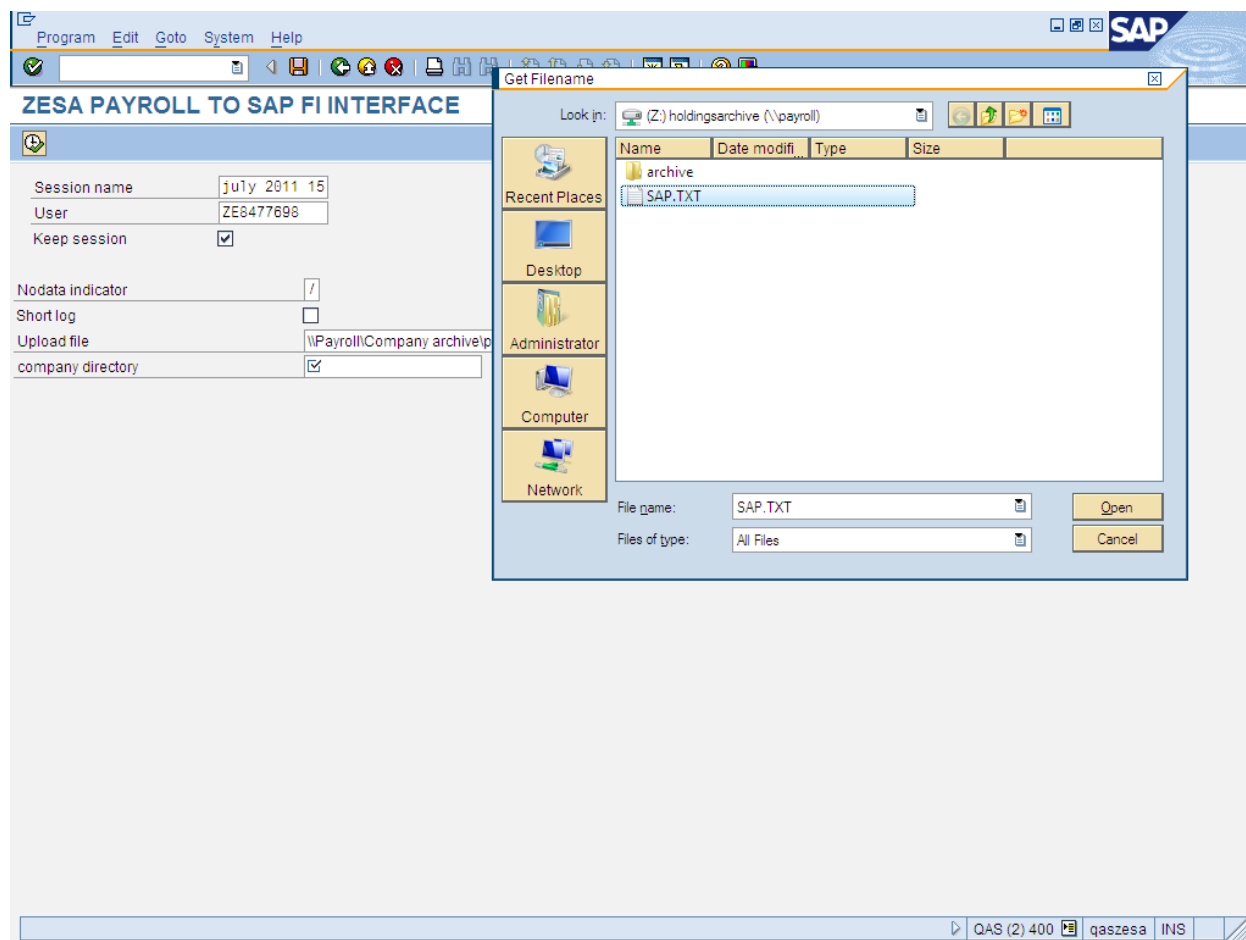
To run a batch file we use the transaction code /ZPAYR.

Enter the transaction code on the command field.

Click 



Screen title: ZESA Payroll to SAP FI Interface



Enter the session name e.g. January xxxxx

Navigate the location of the upload file.

NB.

The upload file field and the company directory are obligatory fields you cannot proceed to the next window without entering their relevant details.

**Screen title: ZESA Payroll to SAP FI Interface**

Session name: july 2011 15
User: ZE8477698
Keep session: ☒

Nodata indicator: /
Short log: ☐
Upload file: Z\SAP.TXT
company directory: ☒

Restrict Value Range (2) 6 Entries found

Restrictions

Char20

- HOLDINGSARCHIVE
- POWERTELARCHIVE
- TESTARCH
- ZENTARCHIVE
- ZETDCARCHIVE
- ZPCARCHIVE

6 Entries found

2) 400 qaszesa INS

Drill down to enter the company directory e.g. ZESA Holdings select HOLDINGSARCHIVE.

**Screen title: ZESA Payroll to SAP FI Interface**

Click the  button to continue.



Screen title: **Batch Input: Process All Unprocessed Sessions.**

The screenshot shows the SAP Batch Input: Process All Unprocessed Sessions screen. The title bar includes 'Sessions', 'Edit', 'Goto', 'System', and 'Help'. The main area displays a table with the following data:

Time	Session	Date	Time	Job no.	Queue ID
14:10:53	JULY 2011 15	15.08.2011	14:10:51	14105300	11081514105120050823

Below the table, the following messages are displayed:

- 1 Session(s) selected to be processed
- 1 Session(s) successfully processed

The status bar at the bottom indicates '1 session(s) transferred to background processing' and 'QAS (2) 400 qaszesa INS'.

Check to see if all processes have been executed successfully including the background processes.



SAP

Batch Input: Process All Unprocessed Sessions

Batch input: Process all sessions still to be processed 15.08.2011					
Time	Session	Date	Time	Job no.	Queue ID
14:10:53	JULY 2011 15	15.08.2011	14:10:51	14105300	11081514105120050823

1 Session(s) selected to be processed
1 Session(s) successfully processed

1 session(s) transferred to background processing

QAS (2) 400 qaszesa INS

To check for the background processes enter the transaction code /nsm35 on the command field and click .



Screen Title: Batch input: Session Overview.

Session Edit Goto Utilities System Help

Batch Input: Session Overview

Analysis Process Statistics Log Recording

Selection criteria
Sess.: From: To: Created by: *

New Incorrect Processed In Process In Background Being Created Locked

Session name	Stat.	Created By	Date	Time	Creation Prog.	Lock Date	Authorizat.	Trans.	Screens	D	Qu
JULY 2011 15	✓	ZE8477698	15.08.2011	14:10:51	ZPAYROLL_INTE		ZE8477698	263	0	263	1.841
JULY 2011 14	✗	ZE8477698	15.08.2011	14:03:03	ZPAYROLL_INTE		ZE8477698	263	263	0	1.841
JULY 2011 13	✗	ZE8477698	15.08.2011	13:57:23	ZPAYROLL_INTE		ZE8477698	263	263	0	1.841
JULY 2011 10	✗	PCHINGWARO	15.08.2011	13:51:49	ZPAYROLL_INTE		PCHINGWARO	263	263	0	1.841
JULY 2011 10	✗	PCHINGWARO	15.08.2011	12:48:55	ZPAYROLL_INTE		PCHINGWARO	263	263	0	1.841
JULY 2011 9	✗	PCHINGWARO	15.08.2011	12:02:19	ZPAYROLL_INTE		PCHINGWARO	263	263	0	1.841
JULY 2011 7	✓	ZE230502	15.08.2011	10:34:43	ZPAYROLL_INTE		ZE230502	263	0	263	1.841
JULY 2011 6	✓	ZE230502	15.08.2011	09:45:04	ZPAYROLL_INTE		ZE230502	263	0	263	1.841
JULY 2011 5	✓	ZE322814	15.08.2011	09:28:49	ZPAYROLL_INTE		ZE322814	263	0	263	1.841
JULY 2011 4	✓	ZE230502	15.08.2011	09:18:01	ZPAYROLL_INTE		ZE230502	263	0	263	1.841
PHILLIPTEST	✗	ZE260762	12.08.2011	16:09:18	ZPAYROLL_INTE		ZE260762	263	7	2	1.841
JULY 2011 3	✓	ZE322814	12.08.2011	10:39:47	ZPAYROLL_INTE		ZE322814	263	0	263	1.841
JULY 2011 2	✗	ZE322814	12.08.2011	10:36:23	ZPAYROLL_INTE		ZE322814	263	1	0	1.841
JULY 2011	✗	ZE322814	12.08.2011	10:05:56	ZPAYROLL_INTE		ZE322814	263	263	0	1.841
JULY 2011 TE	✗	ZE322814	12.08.2011	09:42:52	ZPAYROLL_INTE		ZE322814	263	0	0	1.841
JUNE RUKAU3	✗	ZE322814	11.08.2011	16:21:05	ZPAYROLL_INTE		ZE322814	178	0	0	1.246
JUNERUKAU	✗	ZE322814	11.08.2011	16:14:01	ZPAYROLL_INTE		ZE322814	0	0	0	0
JUNERUKAU	✓	ZE276510	11.08.2011	16:09:56	ZPAYROLL_INTE		ZE276510	0	0	0	0
JUNEMAGURA	✗	ZE260762	10.08.2011	15:59:03	ZPAYROLL_INTE		ZE260762	178	1	0	1.246

Sessions Found: 293

QAS (2) 400 qaszesa INS

The number 263 indicates the number of successfully processed records

Process A

The batch file has been processed but it has errors. We check for errors under the column **status**.

Process B

The batch file has other processes which have been successful but they are errors also

Process C.

The process C has been successful with no errors indicated by a tick under status and also displays the number of processed records to SAP FI.



Screen Title: Batch input: Session Overview.

SAP

Session Edit Goto Utilities System Help

Batch Input: Session Overview

Analysis Process Status

Selection criteria
Sess.: From:

New Incorrect

Created by: *

Background Being Created Locked

Session name	Stat.	Created By	Session Prog.	Lock Date	Authorizat.	Trans.	Screens	D	Qu
JULY 2011 15	✓	ZE8477698	ZPAYROLL_INTE		ZE8477698	263	0	1.841	11
JULY 2011 14	✓	ZE8477698	ZPAYROLL_INTE		ZE8477698	263	0	1.841	11
JULY 2011 12	✗	ZE8477698	ZPAYROLL_INTE		ZE8477698	263	0	1.841	11
JULY 2011 10	✗	PCHINGWARO	ZPAYROLL_INTE	15.08.2011 13:51:49	PCHINGWARO	263	0	1.841	11
JULY 2011 10	✗	PCHINGWARO	ZPAYROLL_INTE	15.08.2011 12:48:55	PCHINGWARO	263	0	1.841	11
JULY 2011 9	✗	PCHINGWARO	ZPAYROLL_INTE	15.08.2011 12:02:19	PCHINGWARO	263	0	1.841	11
JULY 2011 7	✓	ZE230502	ZPAYROLL_INTE	15.08.2011 10:34:43	ZE230502	263	0	1.841	11
JULY 2011 6	✓	ZE230502	ZPAYROLL_INTE	15.08.2011 09:45:04	ZE230502	263	0	1.841	11
JULY 2011 5	✓	ZE322814	ZPAYROLL_INTE	15.08.2011 09:28:49	ZE322814	263	0	1.841	11
JULY 2011 4	✓	ZE230502	ZPAYROLL_INTE	15.08.2011 09:18:01	ZE230502	263	0	1.841	11
PHILLIPTEST	✗	ZE260762	ZPAYROLL_INTE	12.08.2011 16:09:18	ZE260762	263	7	1.841	11
JULY 2011 3	✓	ZE322814	ZPAYROLL_INTE	12.08.2011 10:39:47	ZE322814	263	0	1.841	11
JULY 2011 2	✗	ZE322814	ZPAYROLL_INTE	12.08.2011 10:36:23	ZE322814	263	1	1.841	11
JULY 2011	✗	ZE322814	ZPAYROLL_INTE	12.08.2011 10:05:56	ZE322814	263	263	1.841	11
JULY 2011 TE	✗	ZE322814	ZPAYROLL_INTE	12.08.2011 09:42:52	ZE322814	263	0	1.841	11
JUNE RUKAU3	✗	ZE322814	ZPAYROLL_INTE	11.08.2011 16:21:05	ZE322814	178	0	1.246	11
JUNERUKAU	✗	ZE322814	ZPAYROLL_INTE	11.08.2011 16:14:01	ZE322814	0	0	0	11
JUNERUKAU	✓	ZE276510	ZPAYROLL_INTE	11.08.2011 16:09:56	ZE276510	0	0	0	11
JUNEMAGURA	✗	ZE260762	ZPAYROLL_INTE	10.08.2011 15:59:03	ZE260762	178	1	1.246	11

Sessions Found: 293

QAS (2) 400 qaszesa INS

Go to the menu bar on **System** → **Create Session** to create a new session.



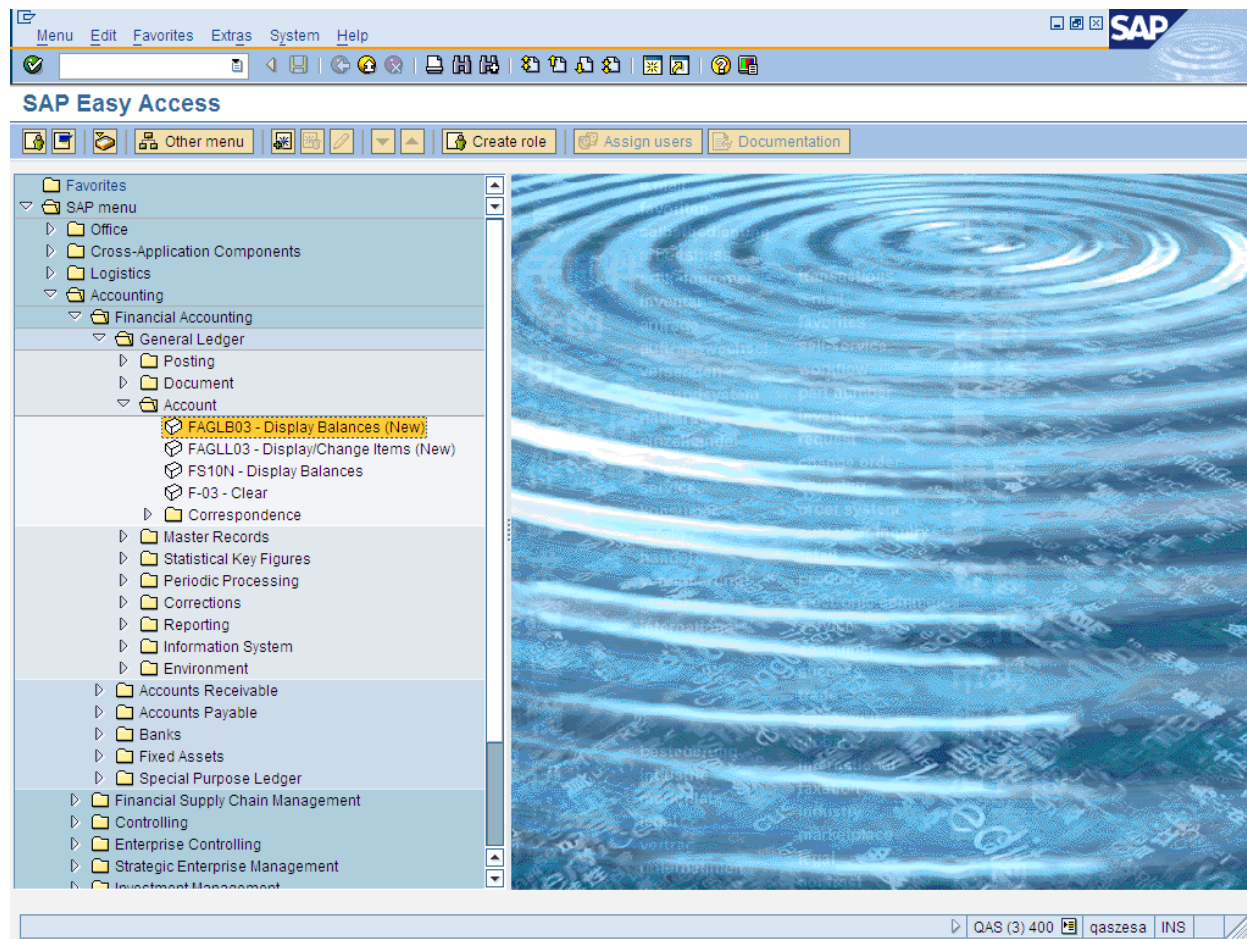
ZESA HOLDINGS (PVT) LTD

Checking for the processed batch file in SAP FI

SAP MENU PATH:

Accounting → Financial Accounting → General Ledger → Account → Display Balances (New) (FAGLB03)

Screen Title: SAP Easy Access



Transaction code FAGLB03 required for displaying the processed batch file in SAP FI.

Double click on Display Balances (New).



Program Edit Goto System Help

SAP

G/L Account Balance Display

Activate Worklist Choose Ledger

Account Number 430000 to

Company Code 1000 to

Fiscal Year 2010

Ledger 0L

QAS (3) 400 qaszesa INS

Enter

Account number e.g 430000.

Company code

Fiscal year

Click on  to continue.



Account Edit Goto Environment System Help

Balance Display: G/L Accounts For the Ledger 0L

Document Currency Document Currency Document Currency Individual Account

Account Number 430000 Basic Salaries
Company Code 1000 ZESA HOLDINGS
Fiscal Year 2010

Display More Chars
All Documents in Currency * Display Currency USD Company code currency

Period	Debit	Credit	Balance	Cum. balance
Bal. Carryforw				
1				
2				
3				
4				
5	400,00		400,00	400,00
6				400,00
7				400,00
8				400,00
9				400,00
10	3.553.449,65	2.274.167,08	1.279.282,57	1.279.682,57
11	101.088,26		101.088,26	1.380.770,83
12	10.486.025,74	487,00	10.485.538,74	11.866.309,57
13				11.866.309,57
14				11.866.309,57
15				11.866.309,57
16				11.866.309,57
Total	14.140.963,65	2.274.654,08	11.866.309,57	11.866.309,57

QAS (3) 400 qaszesa INS

Double click any row under Debits to view the posted information.



Screen Title: G/L Account Line Item Display G/L View

SAP

List Edit Goto Extras Environment Settings System Help

G/L Account Line Item Display G/L View

G/L Account 430000 Basic Salaries
Company Code 1000
Ledger 0L

St	Assignment	DocumentNo	BusA	Typ	Doc. Date	PK	Amount in local curr.	LCurr	Amount in loc. curr. 2	LCur2	Amt in loc. curr. 3	LCur3
☐	✓	0000100110	100005786	1200	SA	12.12.2010	40	6.000,00	USD			
☐	✓	0000100110	100005789	1200	SA	31.12.2010	40	100,00	USD			
☐	✓	0000100110	100005790	1200	SA	31.12.2010	40	100,00	USD			
☐	✓	0000100110	100005791	1200	SA	31.12.2010	40	100,00	USD			
☐	✓	0000100110	100008469	1200	SA	12.08.2011	40	94.600,00	USD			
☐	✓	0000100110	100008732	1200	SA	12.08.2011	40	946,00	USD			
☐	✓	0000100110	100008734	1200	SA	15.08.2011	40	946,00	USD			
☐	✓	0000100110	100008997	1200	SA	15.08.2011	40	946,00	USD			
☐	✓	0000100110	100009260	1200	SA	15.08.2011	40	946,00	USD			
☐	✓	0000100110	100009523	1200	SA	10.12.2010	40	946,00	USD			
☐	✓	0000100110	100009786	1200	SA	10.12.2010	40	946,00	USD			
☐	✓	0000100120	100005473	1200	SA	31.12.2010	40	7.966,00	USD			
☐	✓	0000100120	100008482	1200	SA	12.08.2011	40	1.041.800,00	USD			
☐	✓	0000100120	100008747	1200	SA	15.08.2011	40	10.418,00	USD			
☐	✓	0000100120	100009010	1200	SA	15.08.2011	40	10.418,00	USD			
☐	✓	0000100120	100009273	1200	SA	15.08.2011	40	10.418,00	USD			
☐	✓	0000100120	100009536	1200	SA	10.12.2010	40	10.418,00	USD			
☐	✓	0000100120	100009799	1200	SA	10.12.2010	40	10.418,00	USD			
☐	✓	0000100130	100008499	1200	SA	12.08.2011	40	61.744,00	USD			
☐	✓	0000100130	100008764	1200	SA	15.08.2011	40	617,40	USD			
☐	✓	0000100130	100009027	1200	SA	15.08.2011	40	617,40	USD			
☐	✓	0000100130	100009290	1200	SA	15.08.2011	40	617,40	USD			
☐	✓	0000100130	100009553	1200	SA	10.12.2010	40	617,40	USD			
☐	✓	0000100130	100009816	1200	SA	10.12.2010	40	617,40	USD			
☐	✓	0000100222	100005565	1100	SA	31.12.2010	40	10.565,00	USD			
☐	✓	0000100222	100005566	1100	SA	31.12.2010	40	1.440,00	USD			
☐	✓	0000100222	100005570	1100	SA	31.12.2010	40	548,00	USD			
☐	✓	0000100222	100005576	1100	SA	31.12.2010	40	3.857,00	USD			
☐	✓	0000100222	100005581	1100	SA	31.12.2010	40	3.789,00	USD			
☐	✓	0000100222	100008511	1100	SA	12.08.2011	40	1.766.739,00	USD			
☐	✓	0000100222	100008776	1100	SA	15.08.2011	40	17.667,30	USD			

127 Items displayed

QAS (3) 400 gaszesa INS

Processed
batch file

Check if the document has been processed correctly by looking at the posted totals under the column Amount in local currency.



5. CLEARANCE OF SALARIES CONTROL ACCOUNT

The Salaries Control Account always maintains a Zero balance at the end of every month. The Gross that was initially credited to the control account should be cleared by debiting the control account and crediting the salaries cash account in the form of:

- a) Net
- b) Deduction
- c) Company Contribution

Other Accounts Related to the Payroll Function

5.1 Salaries Cash Account

A record of all our receipts and expenses.

Receipts

- i) All transfers from head office main account to meet the above expenses.
- ii) Returned monies.

Expenses Include:

- i) Total net as per payroll reports.
- ii) Statutory deductions as per payroll reports.
- iii) Voluntary deductions as per payroll reports
- iv) Total Company Contributions as per payroll reports to be adjusted by any cancellations so as to reflect actual cash disbursement.
- v) Refunds of any returned monies and other incidentals e.g. payment of shortfall, bank charges etc.
- vi) Manual advances.

Requirement

To maintain cash reconcile salaries cash account in the general ledger.

5.2 Advances Account: (Staff Debtors account for the payroll Section) zero pay, an advance by the payroll system.

Debit advances account as advance payments are made and Credit Salaries Cash Account. This is cleared normally through the various advance recovery Codes.

**5.3 Payroll Liabilities**

A record of all unclaimed monies is advised through returned monies and all payroll obligations not met at the end of an accounting period. For unclaimed monies debit the salaries cash account and credit payroll liabilities for other obligations, debit cost centre and credit payroll liability.

5.4 Miscellaneous Income Account

A Head Office Account, we post income earned through commission by debiting the control account with commission withheld and crediting miscellaneous income.

5.5 Current/Short Term Funding Account

As discussed in payroll costing. These have to be reconciled monthly with the respective companies.

5.6 Bank Charges

This is head office account. Debit the Bank Charges Account with all bank charges that is from Zimbank. Standard Chartered Bank and CABS and credit the salaries cash account.

6. ENGAGEMENT OF NEW STAFF**6.1 Controls**

- Firstly check on the Alpha list if the employee is not in service before allocating the employee code number.
- Make sure the number issued is not allocated to anyone as this would result in over stating accumulated earnings of the sitting record.
- Make sure the employee is over the age of 16 years, for apprentice and 18 for any other category.
- Make your entries in the new appointment Register.

6.2 Categories

There are five categories of employees, full time, Apprentices, Post Graduates, Contract and Casual employees.

6.3 Documents Required for New Appointments

- S31 form completed in full
- Offer letter
- Identification Number



- Marriage certificate where necessary
- Form A110 method of pay
- Medical aid application form
- Proceed to appoint the employee on the payroll by means of completing PY31 Form. This creates the Master File. The Master File is the fixed portion of the record. The fixed portion includes names, Identification Number date of appointment, date of birth and marital status etc. These portion of record are not changed from time to time.
- Office workers and operational staff are identified by indicator 1 as this category of employee work 7^{1/2} hours per day, and lastly shift workers indicator 2. This category of employees works 8.40 hours per day.
- All permanent employees are entitled to housing allowance indicator 20, non pensionable allowance indicator 16. All permanent employees, contribute to pension, indicator 10 and NSSA indicator automatic.
- Ensure that pension user dates are provided so that pension is calculated on salary except for apprentices and casuals. Permanent Managerial staff qualifies for responsibility allowance and Retention Allowance.
- Every permanent employee is a member of Staff Special Fund and the Death Levy Fund. Staff Special Fund indicator is. Death Levy deduction is fed on indicator 5 of PY31 Form.

7. REFERENCE COLUMN

This column is used for national identification number, occupation codes, nationality and grade. The Patterson Grade e.g. A1.1 is fed on indicator 07. However, for the system to generate salary, Grade A 1.1 is fed under Master File record, column value as 111.

8. LATE NOTIFICATIONS OF NEW APPOINTMENTS

Due to late notifications of new appointments, manual payments are made in respect of these employees and appointments on the computer will be made on the next month's payroll.

9. CHANGES TO BASIC SALARY

All changes to basic salary should be accompanied by the relevant documents. The document which authorizes us to make a change to basic salary is the S39 form. The S39 Form like the New Appointments **Form** must be signed by the Business Unit Manager. Acquaint yourself with the signatories of the managers. Treat each of these forms as a cash requisition.

The S39 Form contains the following information:

- Employee Code Number



- ii) Name of Employee
- iii) Present Grade and Revised Grade
- iv) Present salary and revised salary
- v) Effective date
- vi) Department and the signature of the local senior official.
- vii) **Only** originals of the S39 Form should be accepted. (except in exceptional situations e.g COVID pandemic we could accept scanned documents)

Before an S/39 form is actioned, ensure that all the information on it is correct. For example, if the employee code number on the S/39 Form is inconsistent with the employee's name, it must be returned to the local senior official through a tick sheet signed by the Finance Manager. This applies to all other errors which may be noticed.

There are three reasons why salaries are changed:

- i) Demotion
- ii) Promotion/Regrading /Advancement
- iii) Annual Increments

Take note of arrears salary and allowance payable. In case of demotions recover all the overpaid salary and allowances. Always make use of the salary and allowances worksheets.

Changes to grades are done of Form PY31. The Form is used to input all the permanent features of an employee's record. What we feed on the PY31 Form is the employee code number, grade and the value. The value of the Grade code which generates the actual amount payable to the employee. For example, an employee's new grade is B13; the value we feed is 213. In situations, where salaries change due to collective bargaining, salaries section requires a memo from Group Financial Controller authorizing us to prepare new salary scales. The Salary Services Bureau, currently Corepay updates our parameter with the new salaries.



10. DEDUCTIONS FROM SALARY S.1 1 OF 2008 SECTION 20

Deduction - is any amount reducing the gross salary of an employee.

There are 3 types of deduction on the payroll:-

- i) Statutory Deduction
- ii) Employer Mandatory Deductions
- iii) Voluntary Deduction – initiated by employee

10.1 Statutory Deductions

- a) Pay As You Earn (PAYE)
- b) NSSA Contributions
- c) Court orders/maintenance orders
- d) NEC
- e) Pension

A pay slip without these deductions should be checked to verify the category of the employee, whether contract or permanent. These deductions are only ceased when the employee terminates employment. NSSA – P10 should be completed.

10.2 Mandatory Deductions

Any employee appointed to a permanent position will currently have the following compulsory deductions.

- i) Pension
- ii) Death Levy
- iii) Staff Special Fund
- iv) Employment Council for employee in Grade A1 to D2

These are deductions explained to in the offer letter of employment.

10.3 Voluntary Deductions – initiated by the Employee

These deductions are introduced on the employee's salary as a directive from employee they are only introduced when the deduction code already exists within our code book for example insurance deductions, bank stop order, and mortgage loans.



- Control: Before actioning the initiated deduction (by the employee) the salaries officer should check for the correctness of the names. E.C Number and cost centre. Make sure that the deduction forms bear the employee's signature, if it does not, return the form to its place of origin.
- Deduction forms from companies should be stamped. Stop orders from banks should bear the bank's stamp confirming the account holder.
- Check for the amount which you are instructed to deduct, specifically check if the deduction will result in a credit balance i.e. whether it meets the net pay to avoid Zero Pay. Zero Pay is a situation where deduction on the salary outweighs the earnings i.e. the deductions are more than what the employee is earning.

10.4 Deleting the Deduction from the Payroll

- An employee may instruct the salaries office to deduct or to cease deductions from his salary. Companies from where stop order forms originate may cause the deletion of deductions. Please note that where insurance deductions were initiated by companies, such deductions may only be ceased upon receipt of Authority from the insurance company concerned.
- Deductions guaranteed by the Authority, need the Authority's authority (directive) to be ceased. This Authority should come from the company financing the scheme.
- On these two instances, we can delete the deduction from the employee's salary.

10.5 Deduction which need no authorization from the employee:

Refer to S1 1 of 2008

- a) A pro rata amount of salary for any period of unauthorized absence from duty.
- b) A charge made as a result of loss of damage to uniform or protective clothing or appliance supplied to the employee in terms of Section 16.
- c) Loss suffered by the employer due to employee's conduct for example fraud misappropriation of company funds.



- d) Any amount which the Authority is compelled by law or legal process to pay on behalf of the employee through deduction from his salary for example maintenance deductions. Garnishee orders for example TM Supermarkets vs. Employee.
- e) Any overpayment related to his employment.
- f) Resignation without giving three months' notice

11. ALLOWANCES

An allowance is defined as:

- Any amount paid to an employee in addition to his monthly salary; or
- Any amount paid by ZESA on behalf of an employee which is subject to tax.

These can be in two categories that is

Temporary Allowance/Non Recurring Allowances

Recurring Allowances

11.1 Temporary Allowances

a) Overtime

All employees who work and claim overtime have to complete the prescribed Form A.22 – time sheets (overtime) (Appendix 1.4. Two copies of the A.22 Forms are prepared:-

- One is kept at the area/station and the original submitted to the Salaries Office for payment.
- Each A.22 form has to be checked and approved by the Region/Station Manager or Local Senior Official.
- Overtime is paid one month in arrears. The overtime period is from the 16th of the prior month to the 15th of the current month.
- The time of the day when the overtime was worked determines the rate at which the overtime is remunerated, the rates are:
 - i) Ordinary time
 - ii) Time and half
 - iii) Double time

The rules to be used to determine the overtime rates are detailed in the Admin. Notes No. 24. It is the responsibility of the Payroll



department to classify the hours worked into the three payment categories. Enter the overtime hours divided into the categories, at the bottom of the A.22 Form. When completing the overtime Form, enter the hours in the appropriate column, the bureau system will translate the hours into the amounts payable.

b) Standby Allowance

Details of this allowance are set out in the Administration Notes No. 24. Employees entitled to claim standby allowances will submit each month Form A52 – Allowances Claim Form (Appendix 1.6) On receipt of an A.52 form the payroll department will:-

- i. Check to determine whether the form has been correctly checked and approved.
- ii. Determine the number of days for each allowance claimed and enter this total at the base of the form.
- iii. Compute the amount of each allowance using rates given by the Administration Notes No. 24, which is stated below for ready reference.

All standby (including, telephone and call-out standby) a standby allowance of one day's pay for 4 days including Saturday, Sunday and paid industrial holidays. If the employee does not complete the 4 days on standby, his remuneration will be calculated on a pro rata basis i.e. number of days spent on standby multiplied by daily pay divided by 4 rounded off to the nearest cent.

c) Acting Allowance (refer to amended Administration Note 24)

Form S.38 – Payment of Acting Allowance (Appendix 1.5) is used to inform the payroll department of acting allowance. The S.38 specifies:-

- i) The period for which the allowance is to be paid.
- ii) The monthly amount of the allowance

Where an employee is relieving the other employee confirm that the period on Form S38 is consistent with the period of absence of the incumbent employee. Where the acting allowance is being paid for a vacant post, confirm the post exists on the organogram.



11.2 Recurring Allowances

a) Shift Allowance

Staff engaged on shift work on a 24 hour roster is entitled to a shift allowance. Details of the allowance are set out in the Administration Notes No. 21. It is currently payable at a rate of 18.55 %. When the allowance is temporary, the employee concerned will submit claim Form A.52 Allowance Claim Form.

b) Locality/Climatic Allowance

Details of these allowances are set out in Administration Notes No. 13. The allowance is being paid to employee at designated work station at 5% of basic salary .

Housing Allowance – 31.8% of monthly basic salary to those entitled to the allowance.

- 1) Non Pensionable allowance – 31.8% of monthly basic salary to those entitled to the allowance.
- 2) Responsibility Allowance – 5.3% on monthly basic salary to those entitled to the allowance.
- 3) Retention Allowance – 21.2% on monthly basic salary to those entitled to the allowance
- 4) Contract Allowance – 65% on monthly basic salary to all contract workers from A1 to D4

12. MANUAL PREPARATION OF TRANSFERS

Definition

This is a process where Salaries Staff issue out manual transfers to employees or creditors.

21.1 Who May Be Given Manual Transfers

- Any employee of the Authority may be paid by a manual transfer due to late notification of appointment and or termination of services with the Authority. The Principal Payroll Accountant also sanctions manual transfers under special circumstance.

a) New Appointment



- This is so because papers usually get to Salaries Office after the person has already assumed work.

b) Terminations

- These are for Terminal Benefits in respect of employees after leaving the employment of the Authority.
- Also late notification or receipt of termination papers.

c) Re-engagements

This is for employees who will be re-instated after a period of suspension.

13. REMITTANCE AND MONIES RETURNED BOOK

Remittance – the act of sending/receiving money.

13.1 Reasons

- Employees closing accounts without notifying salaries department.
- Remitting salary into closed accounts.
- Sending a salary to a wrong bank.
- Sometimes employees will have paid off their loans. Examples of loans referred to are, car loans, mortgage loans etc.

13.2 Procedure or Process

- i) The amount is recalled and the bank transfers the amount directly into the Salaries account.
- ii) The Salaries Officer then transfers the amount to the correct bank account.
- iii) The Salaries Officer takes corrective measures on the next payroll run.
- iv)

14. CASUAL AND CONTRACT PAYROLL

14.1 Recruitment of Contract Employee

The recruitment of Contracts and Casual employees conditions of service is based on Statutory Instrument No. 1 of 2008 – Section 10 & 11 of Part 111. Various memoranda raised by Human Resources over the years in an attempt to address areas contravening the Labour Relations Act (Chapter 28:01) have amended the Statutory Instrument and provided the basis on which casuals are being paid today.



On appointment: a contract of agreement between the casual/contract employee and the employer's representative is drawn up (on a specified form). On the form the following information should always be quoted:-

- Full name (i.e. surname & fore-names)
- Date of birth
- National Registration Number
- Contract Period
- Rate of Pay
- Hours of Work
- Capacity employed

Contract employees appointments are open to any persons, who are aged over 18 and not more than 65 years of age and they are employed on the following bases:

- In a vacant post: or
- Where necessary to increase staff in a department temporarily; or
- Where necessary to acquire the services of a person for a class of work which permanent staff is not ordinarily employed for

A contract employee shall be paid monthly salary equivalent to not less than the minimum entry point for the grade applicable to be position to which the contract employee is appointed.

A contract employee is entitled to vacation leave of minimum of 30 working per year provided the contract of for a period of at least one month.

A contract employee shall be entitled to payment of an Annual Bonus on a pro rata bases provided the contract is for a period of at least one month.

Conditions of Service of Contract Employees

- a) **Annual Bonus:** Contract Workers are entitled to payment of Annual Bonus as per Human Resources memo ref. 115/1/FS/re and 115/1/FS/rs dated 29 April 1997 and 11 June 1997 respectively. The aforesaid memos replaced Section 3 of the S.I. 1 of 2008
- b) **Allowance:** As per Section 4 (a) of Part VII of S.I. 1 of 2008 – payment of allowances will not apply to contract employees e.g.
- Housing allowance
 - Fuel allowance



- Electricity allowance

Admin. Notes relating to other allowances such as Responsibility and Non-Pensionable specify non-payment of these allowances of contracts.

- c) **Medical Aid:** will not apply to contracts staff in terms of Section 4 (b) of Part III of S.1.1 of 2008
- d) **Staff Pension Fund:** will not apply to contract staff in terms of Section 4 (b) of Part 1 of 2008
- e) **Staff Special Fund:** will not apply to contract staff in terms of Section 4 (b) of Part III of S.I 1 of 2008.
- f) **Benefit Fund:** will not apply to contract staff in terms of Section 4 (b) of Part 111 of S.1.1 of 2008
- g) **Death Levy:** will not apply to contract staff in terms of Section 4 (b) of Part III of S.1. 1 of 2008.
- h) **Vacation Leave:** will accrue on the same basis as permanent staff and Contracts may be permitted to take vacation leave and payment of C.I.L on expiry of contract.
- i) **Hours of work and Overtime:** the hours of work for contract staff will be the same as their counterparts holding permanent position and they will also be entitled to payment of over time.
- j) **Health & Safety:** the same regulations governing permanent staff will apply to contract staff (Section 15 -17 of Part V of S.I. 1 of 2008)
- k) **Misconduct, Suspension & Grievances:** Part X of S.1 1 of 2008 (section 45 – 47) will apply to contracts on matters of misconduct, suspension and grievances.

Casual employees appointments are open to any persons, who are aged over 18 and not more than 65 years of age for a specified period not exceeding 6 weeks in any period of 4 months.

A Casual employee shall be paid the appropriate salary stipulated by a company

For the avoidance of doubt, it is hereby expressly declared no casual employee shall be entitled to an leave of other benefits or allowances provided for in these regulations.



The employment of a casual employee maybe terminated without an reason being required to be given -

- a) By the casual employee or
- b) By the appropriate local official; by giving 24 hours notice, in writing, of such termination.

No casual employee shall be entitled to object to the termination of his employment.

15. PAYROLL PROCESSING FOR CONTRACTS

To process the payroll the following documents will be required:-

- Contract form(s)
- Memo from the Senior Local officials requesting payment and specifying the number of days worked during the period to be paid.

15.1 Salary

A contract employee will be paid salary at the rate specified on the contract form, which is equivalent to the daily rate of a similar post for a permanent employed person.

A daily rate of pay is calculated as follows:-

<u>Monthly Salary</u>	or	<u>Annual Salary</u>
20.83		250

The basic salary for the period being paid is daily rate multiplied by the number of days worked.

15.2 Overtime

Overtime is claimed on Form A22 and the allocations are the same those for staff occupying permanent positions. The calculations of overtime value is

<u>Daily Rate of Pay</u>	x	<u>Hours of Overtime Worked</u>	x	<u>Rate of Payment</u>
Hours Worked per Day		1		1

15.3 Cash-in-lieu of Leave



Contract are entitled to payment of C.I.L on completion of 12 months' continuous service. Where contract breaks are for not more than 7 working days in any calendar year, service shall be considered as continuous service.

Formula: Daily rate of pay X the number of days' vacation leave standing to the contract employee's credit.

15.4 Annual Bonus

Contract employees who serve for a continuous period of 12 months and above and where a contract breaks for not more than 7 working days in any calendar year shall be considered as continuous service are entitled to annual bonus payment. Pro-rata bonus shall be calculated on the same basis as that for permanent staff.

Formula: 10 % of Annual Salary.

Where salary is based on the grade rate from which daily rate is derived from.

16. DEDUCTIONS

16.1 PAYE: is calculated using the monthly tax tables. **DO NOT USE DAILY TAX TABLES** because payment is done once per month hence monthly tables are applicable in this case. FDS method of calculating tax is NOT applicable to casuals/contracts as they will be issued a P.6 Form at the end of the tax year.

16.2 NSSA deductible from all casuals/contact who work for a continuous period of more than 18 days.

16.3 NEC: deductible from all contract staff as per collective bargaining agreement.

Net: the final net payable to the casual/ contract employee is paid out by bank transfer

17. PAYROLL INPUT

- Verify each casual/contract against the current Alpha List and endorse E.C Number.
- Allocate E.C Number to new casuals/contracts and prepare master file Forms PY31
- Complete E/D Form PY54 for payment and deductions.
- Submit input to Bureau
- Check payments on dummy & final payroll and ensure the net paid is recovered as advance.
- Catalogue and file payrolls where they are secure and accessible



18. TERMINATION

There are six types of terminations an employee can be terminated through.

1. Death
2. Retirement -
3. Resignation-
4. Dismissal
5. Absconding
6. Retrenchment/Abolition of office

- In the event of death the salary is ceased on date of death and the estate is paid terminal benefits in the manner the resigned employee would ordinarily be paid.
- On retirement every employee shall retire if he/she attains 65 years or retired on medical grounds or early retirement at the age of 55. Ex –Local Authority Staff retired on medical grounds or early retirement at the age of 55. Ex – Local Authority Staff retire at 65 years. SI 1 of 2008 Section 48 refers.
- Resignation – an employee shall resign by giving three months’ notice (Labour Relations Act Chapter 28:01). Notice shall not be given by or an employee while he/she is on leave.
- Dismissal – an employee found guilty of misconduct specified in the Code of Conduct.
- Absconding – an employee who absconds will have his/her services terminated with the Authority.
- Retrenchment – an employee is retrenched for the purpose of reducing expenditure or costs adapting to technological change.
- Abolition of office – an member is retired owing to the abolition of his/her office or any reduction in or re-organisation or re-adjustment of departments or office of the Authority or;
- In order to facilitate improvements in the organization of the department or office to which he/she belongs by which greater efficiency or economy can be affected.



Please note bonus is not payable to discharged employees and employees who absconded. In respect of termination papers which comprise Forms S32, S25, S65.

- i) Check date of termination
- ii) Check if employee code number is correct
- iii) Change method of pay to cheque and cease salary
- iv) Check for any overpayments
- v) Recall the money from the bank, deposit recalled
- vi) Calculate terminal benefits, cash in lieu of leave and pro rata annual bonus and pay by transfer.
- vii) Recover all debts reflected on S25 form and on any other correspondence.
- viii) If funds are insufficient request the Legal Office to make the necessary steps to recover the amount.

Advice all institutions where recurring payables were being made e.g. Insurance, Medical aid, Courts, and ZIMRA.

- i) The date of resignation of the employee
- ii) The forwarding address of the employee

Finally prepare P6 upon request for emigrating employees, retirements, death and medical discharge if date of termination is retrospective.

19. BUREAU OUTPUT

19.1 What is a Bureau

A Bureau is a service provider with a powerful mainframe and software systems capable of meeting customers' requirements. In our case we get the service of producing the entire ZESA payroll from Corepay). The system has a pay programme that is parameter driven.

Every month we prepare and submit payroll input to Corepay and in turn we get output.

At the moment, ZESA Holdings has 4 subsidiary companies and each company has its own payroll.

a) Dummy Payroll (Penultimate Run)

We request for this run for us to check for any punching errors and also to confirm that the submitted data has been actioned/captured/accepted correctly. This report is thoroughly checked for anomalies. Corrections are done in liaison with the Bureau.



19.2 Final Run

We submit a request sheet to the Bureau listing production priorities and requirements. The reports are as follows:

i) Analysis of method of pay

This report is a summary of net salaries of all employees on the payroll. It is detailed as follows:

- Total number of employees and total net of those paid by cheque.
- Total number of employees and total net of those paid through banks.
- Total net for the whole payroll.

ii) Bank Schedule or Bank Transfers

This report gives details of banks and building societies through which employees on the payroll are paid. It contains the following information:

- Name and code of the bank
- Employee's code number, name. Account number and net pay to be paid.
- Total for each bank.
- The total net on bank transfers is balanced to total on analysis of method of pay.
- Payments are done through bank transfers

19.3 PAYSLIPS

What is a pay slip?

It is a salary advice that explains in detail how an employee has been paid a salary.

It has the following features

- Name of employee, employee code number and identification number.
- Name of employer.
- Grade and basic salary which calculations on the pay slip have been based on
- Account number into which net pay is to be deposited.
- Department in which remuneration is accounted for,
- pay date
- Total earnings, total deductions, net pay.



It also reflects P6 certificate figures accumulated to date for that particular tax year. We check for the correctness of these pay slips and finally send them out to employees through local senior officials. The pay slips are accompanied by signing on lists.

Signing lists - employee signs to acknowledge receipt of pay slip.

19.4 Payroll Control Report

The payroll control report is a summary of earnings deductions and company contributions produced according to respective payroll codes. The costing of the payroll is done on the basis of the gross earning and company contributions as reflected on the payroll control report.

19.5 Costing Report

- This output is for the employer to be able to cost labour on the payroll.
- How much it is spending on each type of earning.

19.5.1 Employer Costs

Company expenditure traceable directly to the employee.

- i) Company ZESA Pension 21.25 %
- ii) Local Authority Pension Fund and Zambezi River Authority have different pension percentage. There are no new employees joining these funds
- iii) Medical Aid
- iv) Staff Special Fund
- v) NEC
- vi) NSSA Workmen's Compensation Insurance Fund (WCIF)
- vii) NSSA Pension
- viii) Standards Levy
- ix) Manpower Levy
- x) ZGLA

19.6 Net Pay Analysis Report

- This report reflects all employees by grade order, gross salaries, net salaries, PAYE and bank account number of employees for that particular month.
- It helps us check on abnormal gross or net.



19.7 Payroll Summary Report

- It is more or less the same as the pay slip.
- It is a record of the pay slip that we retain for filing after dispatching pay slips to employees.

19.8 Creditors Deduction Schedules Report

This is a list of deductions made from the employees earnings on behalf of companies. Each individual report has the following information.

- Company or creditor, address and a deduction code used.
- EC. Number, name of employee from whom the deduction has been made and amount deducted.
- Reference numbers for easy identification of the deduction for correspondence purposes.

Bank transfers are done for the deductions to be paid to the creditors. Before creditors payments are sent out, officers ensure schedules of payments bear account number and or policy numbers.

Bonus and Leave Provisions Report

These reports reflect the monthly provisions that the employer has to set aside for future obligations in respect of bonus and cash in lieu of leave payments.

Quarterly Labour Return Report

This is a statutory report that is required by the Central Statistical Office (CSO) on a quarterly basis. It is divided into three categories reflecting distribution by gender and various regions as requested by CSO from time to time. The three categories are as follows:

- i) Gross Earnings and Company/Employer Pension Contribution
- ii) Wage Distribution e.g. from \$50.00 - \$3 000.00, \$3 001,00 and above.
- iii) Age distribution e.g. under 20 years 20 – 29, 20 – 29 years etc.



Alphabetical Listing

The report lists all employees on the payroll in an alphabetic order and at the same time reflecting the fixed portion of employee's record.

Numeric Listing

It is again a list of employees on the payroll most features are the same as those of an alphabetic listing, but arranged in order of Employee Code numbers.

20. METHOD OF PAY

It is a directive from the employee instruction Salaries Office to deposit salary into a bank or building society of his/her choice. The employee advises the Salaries Section by filling in a Form A110. The Form contains the following information

1. Employee Code Number
2. Department
3. Name of Employee
4. Name of Bank or Building Society
5. Branch
6. Account Number

All methods of pay changes must be advised by filling in this form A110. Telephone instructions are not permitted.

21. Method of Pay Input

Use PY31 form to initiate or change method of pay. For employees without bank accounts indicate Q on pay mode. For bank method of pay indicate B. Write the bank code separately and then the account number.

DISPATCH OF CREDITORS

Normally creditor's bank transfers are done after net pay has been paid. Effort is made to ensure that creditor's payments are dispatched from the office before the last working day of the month as a failure to comply has serious repercussion especially on loan repayments because of interest charges.

1. Each payment is accompanied by a schedule and soft copy. The total amount on the bank transfer should be the same as that on the accompanying schedule and this has to be checked before dispatch.



2. Creditor's schedules for organizations are sent by email.

2. PAYROLL CONTROL AND ZERO PAY ADVANCE

Payroll Controls

Introduction

- Generally control is ensuring that actual activities conform to planned activities.
- It is the process or measure used to monitor the flow of documents in the Salaries Department.

Why Control is needed?

- Monitor progress and correct mistakes.
- Smooth running of the Section (Error free Section).
- Check on the conformity of the rules and office instructions.
- Gives enough responsibility and accountability.
- To cope with change (new technologies are emerging that affect the payroll production).
- To facilitate delegation and team work (together as a team we can work effectively).
- To create faster cycle by doing things properly.
- Avoid abuse of ZESA funds.
- Prevent problems from coming rather than fix them after they have happened.

For Controls to be effective and successful, one must have relevant documents.

Control by Checking

How to Check Documents

Documents are checked for accuracy and authenticity before being actioned. Check whether all the requisites are correct such as the following:-

- a) Name
- b) E.C Number
- c) Department Code
- d) Station
- e) Signature

When it is a memo it must have the date and be signed by Local Senior Officials.



Documentation

Control Report

- Produced every month end and this is summary of the entire payroll.
- It gives the total of what has been paid in that particular month.
- Transfers are done using these summaries.
- Final reconciliations are done from these controls.

Zero Pay Advance

- This is a program in the system to advance anyone with resultant negative earning i.e. deductions would be exceeding earnings.
- In this instance the system advances the employee with equivalent amount so that he comes out with ZERO Net.
- In normal practice that advanced amount should be recovered whenever that employee has sufficient net to his credit, which presumably must be the following month.

FINAL DEDUCTION

P.A.Y.E

Why do we contribute towards PAYE?

To contribute to the Consolidated Revenue fund (source of Government Revenue)

- This money is used for Capital Projects
- Also used for income distribution through recurrent expenditure e.g. money used to pay civil servants and Aids Levy.

What is FDS?

Final Deduction System is the method of deduction of PAYE in such a way that PAYE deducted every month and also cumulative PAYE at any time during the year is accurate.

This has removed the need to submit a P6 Return to the Revenue Authority at the end of the tax year. The reason for submitting P6 returns was to provide information to Commissioner of Taxes for them to do the assessment. After assessment the department would demand shortfalls from employees or refund employees who would have been overtaxed.



- FDS was first introduced in large companies like ZESA but it became compulsory to all companies effective January 2002.
- The work load has now been increased on the employer who has to do most of the assessment and Revenue Authority only follows up as auditors of the system.

Differences between the Old Way of Deducting PAYE and the FDS

- P.A.Y.E used to be worked on earnings of a particular month i.e. non cumulative but FDS continually calculates P.A.Y.E on total emoluments as they are paid resulting in accurate tax. This means that at any given time of the year P.A.Y.E deduction is correct.
- The employer has been given authority to make adjustments on PAYE.

Calculations

- Step 1** Salary to date (net of exemption and allowable deductions)
- Step 2** You calculate average monthly earnings by dividing the salary to date by the number of months to date.
- Step 3** Project annual salaries by multiplying the average monthly earnings by 12.
- Step 4** Calculate the tax based in annual salary which you would have above (3).
- Step 5** Calculate average monthly taxes by dividing the annual tax by 12.
- Step 6** Calculate theoretical accumulated tax to get the tax payable during the months worked.
- Step 7** Deduct previous months actual accumulated tax to get the tax payable.

What are Allowable Deductions

1. Pension NB. Maximum differs from tax year to tax year
2. Contributions to retirement annuities.
3. Contributions to professional trade or technical association.
4. Tradesman tools.

What are Exemptions



1. Part of annual bonus amount differs from year to year.

Credit

2. Retrenchment allowance differs from year to year.

We also have credits. Some of these according to the Revenue Authority have to be granted to employees equally each month.

Types of Credits

- Elderly persons credit which should give to those above 55 years at 1st January each year
- Blind persons credit
- Disabilities – mental or physically disabled credits
- Medical Aid contribution, medical expense credit e.g. doctors fees, medical appliances that is spectacles, wheel chair and prescribed medicines 50% of the total allowed as the credit. (Applies to employee and immediate family)

Duties

- Deduct correct tax
- Issue P6s
- Keep record properly for tax audits e.g. payrolls
- Make monthly, quarterly and final of year adjustments.
- Make sure that payments are made to the Revenue Authority by the 15th of the next month or a penalty of 100% interest will be charged.
- Make necessary adjustments

New employees appointed on or after 2nd January of the year and any termination of services during the year are not affected by FDS and these have to submit P6 returns.

ENCASHMENT OF LEAVE DAYS: STATUTORY INSTRUMENT 1 OF 2008 SECTION 35

1. What is Encashment of Leave

The commutation of leave days into monetary value/payment of cash in lieu of leave.

- An employee may encash leave days on condition he/she applies for and is granted leave for at least five working days. The employee may be paid the cash in lieu of leave at the end of the month preceding the commencement of the leave period provided the number of vacation leave days commuted.
 - a) Is not less than vacation leave days granted.



- b) Is not more than twice the number of vacation leave days granted. and the total of which must not exceed 214 days.
- Leave days accrued per annum by all employees on Grades A1 to D4 is 30 but others who have different conditions of service to these accrue the number of days stated in their contracts on a personal to holder basis.

2. Steps Taken Before Payment of Cash in Lieu of Leave

- When the Salaries Officer receives a leave Form – S2 they check if it has been duly signed by all parties and carded as well as any other requirements of the leave form.
- The leave form is passed to the responsible Salaries Officer.

3. How to Pay Cash in Lieu of Leave

Cash in lieu of leave is normally paid through the payroll system by using the input Form (PY55) or clock card. You may also use the form PY54 and use Code 76 and put the monetary value on the amount column, or use the time code (75) and put the number of leave days to be encashed on the amount column. The leave taken adjustment is done by Code 72 on the clock card and putting the number of leave days granted in the column.

4. Manual Calculations of Cash in Lieu of Leave

The calculation is done by finding the average day's salary of the employee multiplying it by the number of leave days to be commuted, hence the formula.

Annual Salary x number of days

250

Manual calculations may be done on payment of terminal benefits the maximum number of leave days that are paid on termination is 214.

Manual calculations may also be done, though rarely, and after very strict consideration and approval by the Principal Payroll Accountant for employees who are still in the employ of the organization and urgently need cash before or after the running of the payroll. After doing any manual calculation and the payment, the salaries have to prepare the input for the recoveries and leave adjustment.

- 5. Avoid double payment by checking in the file first if the balance of leave days is consistent with the details of the stamp.